

These allegations are rooted in Section III of the Operating Agreement and the breach of oral agreement. (FACC ¶¶ 42-50; FACC, Ex. A, section III.)

Conclusion

In consideration of the above, **Motion to Strike is granted with leave to amend for the attorney's fees requests and denied as to all other requests. Cross Complainant must file amended pleadings within 15 days of service of notice of entry of this order.**

9. 9:00 AM CASE NUMBER: C26-00015
CASE NAME: ALONDRA SALAZAR CRUZ VS. VOLKSWAGEN GROUP OF AMERICA, INC.,
HEARING ON DEMURRER TO: COMPLAINT
FILED BY: DIRITO BROTHERS WALNUT CREEK, INC.,
TENTATIVE RULING:

Defendant Dirito Brothers Walnut Creek, Inc., dba Dirito Brothers Walnut Creek ("Defendant") brings the instant demurrer to the fourth cause of action for negligent repair in the complaint of plaintiffs Alondra Salazar Cruz and Jarek Rusich ("Plaintiffs"). Defendant argues that Plaintiffs failed to plead sufficient facts to properly state the fourth cause of action for negligent repair and that the cause of action is also barred by the economic loss rule.

For the reasons discussed below, the Court OVERRULES Defendant's demurrer to Plaintiffs' fourth cause of action for negligent repair.

Meet and Confer

The meet and confer requirement has been satisfied. (Decl. of Lationa Simpson-James, ¶¶ 2-6; CCP, § 430.41, subd. (a)(3)(B).)

Legal Standard for Demurrer

In ruling on a demurrer, a court must treat as true all properly pleaded material facts contained in the complaint, but not contentions, deductions or conclusions of fact or law. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) "We also accept as true facts which may be inferred from those expressly alleged." (*Cundiff v. GTE Cal., Inc.* (2002) 101 Cal.App.4th 1395, 1405.) A demurrer challenges "the sufficiency of the allegations in a complaint as a matter of law," not the truth of the factual allegations in the pleading or the pleader's ability to

prove those allegations. (*Id.* at pp. 1404-1405.)

Questions of fact cannot be decided on demurrer. (*Berryman v. Merit Prop. Mgmt., Inc.* (2007) 152 Cal.App.4th 1544, 1556.) Because a demurrer tests only the sufficiency of the complaint, a “court will not consider facts which have not been alleged in the complaint unless they may be reasonably inferred from the matters which have been pled or are proper subjects of judicial notice.” (*Hall v. Great W. Bank* (1991) 231 Cal.App.3d 713, 718, fn.7.) “[A]t the demurrer stage the complaint must be construed in the light most favorable to the plaintiff.” (*Wilson v. Houston Funeral Home* (1996) 42 Cal.App.4th 1124, 1138.)

Background – Facts Alleged in Complaint

Plaintiffs’ complaint (“Complaint”) alleges four claims:

- (1) Breach of Express Warranty—Song-Beverly Consumer Warranty Act [against codefendant Volkswagen Group of America, Inc.];
- (2) Breach of Implied Warranty—Song-Beverly Consumer Warranty Act [against codefendant Volkswagen Group of America, Inc.];
- (3) Violation of Song-Beverly Consumer Warranty Act Section 1793.1(b) [against codefendant Volkswagen Group of America, Inc.]; and
- (4) Negligent Repair [against Defendant].

According to the Complaint, Plaintiffs purchased a 2021 Volkswagen Tiguan on June 21, 2021, for \$41,463.40. (Complaint, ¶ 9.) Plaintiffs allege that the vehicle was delivered to them with serious defects and nonconformities to warranty and developed other serious defects and nonconformities to warranty including, but not limited to, emission and engine system defects. (*Id.* at ¶ 11.)

Since purchasing the vehicle, Plaintiffs have presented the vehicle to Defendant for repairs on at least three separate occasions. (*Id.* at ¶¶ 12-14.) Each of these visits involved excessive smoke emitting from the exhaust pipe and two of the visits involved excessive consumption of motor oil. (*Ibid.*)

Discussion

Defendant argues that Plaintiffs have not alleged sufficient facts to state a claim for negligent repair against it. (Demurrer, pp. 6-8.) Specifically, Defendant argues that Plaintiffs only alleged legal conclusions as opposed to facts. (*Id.* at p. 8.) “There are also no factual allegations regarding dates that Defendant negligently performed repairs, the types of repairs that were allegedly negligent performed, or the types of damages that were caused by the alleged negligence.” (*Id.* at p. 8:10-12.) Defendant also argues that the Court should sustain the demurrer because Plaintiffs do not provide the amount of damages demanded. (*Id.* at p. 8:14-22.) Finally, Defendant asserts that Plaintiffs’ claim against it is barred by the economic loss rule because Plaintiffs do not allege any physical injuries and economic loss alone precludes recovery in tort for product liability cases. (Demurrer, pp. 8-9.)

Plaintiffs contend that they properly allege all the essential elements for negligent repair, which they assert can be found at paragraphs 11 to 14 and 62 to 66 of their Complaint. (Opposition, pp. 2-4.) Plaintiffs also argue that the economic loss rule does not apply to the negligent repair claim against Defendant because that rule does not apply to cases involving the negligent performance of services. (*Id.* at pp. 4-8.)

Defendant’s reply was due to be filed on Thursday, May 21, 2026. However, as of the date of this writing, Defendant has not yet filed a reply.

Facts Sufficient to State a Claim

“In an action to recover damages resulting from the negligence of the defendant, a general allegation of negligence upon the part of defendant is sufficient. In such a case, the negligence is the ultimate fact to be pleaded, and is not a legal conclusion.” (*Kienlen v. Holt* (1930) 106 Cal.App. 135, 139–140 [internal quotations omitted].) “Ordinarily, negligence may be pleaded in general terms and the plaintiff need not specify the precise act or omission alleged to constitute the breach of duty.” (*Lopez v. S. Cal. Rapid Transit Dist.* (1985) 40 Cal.3d 780, 795; Accord, *Hahn v. Mirda* (2007) 147 Cal.App.4th 740, 747; *Crouse v. Brobeck* (1998) 67 Cal.App.4th 1509, 1532 [to allege negligence claims, complainants need only state what occurred, and generally that the acts

were negligently done, but “need not state the specific act or omission constituting negligent conduct.”].)

Plaintiffs’ fourth cause of action alleges:

62. Plaintiffs incorporate herein by reference each and every allegation contained in the preceding and succeeding paragraphs as through herein fully restated and re-alleged.

63. Plaintiffs delivered the Subject Vehicle to Defendant DIRITO BROTHERS WALNUT CREEK for repairs on numerous occasions.

64. Defendant DIRITO BROTHERS WALNUT CREEK owed a duty to Plaintiffs to use ordinary care and skill in storage, preparation, and repair of the Subject Vehicle in accordance with industry standards.

65. Defendant DIRITO BROTHERS WALNUT CREEK breached its duty to Plaintiffs to ordinary care and skill by failing to properly store, prepare, and repair of the Subject Vehicle in accordance with industry standards. Defendant DIRITO BROTHERS WALNUT CREEK’s negligent breach of its duties owed to Plaintiffs were a proximate cause of Plaintiffs’ damages.

Because it incorporates all prior allegations, some additional relevant allegations include paragraphs 12 to 14, which allege:

12. Plaintiffs first presented the Subject Vehicle for repairs in December 2024, with approximately 33,485 miles on the odometer, and reported excessive smoke emitting from the exhaust pipe. Additionally, an abnormal odor emitted.

13. In May 2025, with approximately 36,879 miles on the odometer, Plaintiffs presented the Subject Vehicle and reported excessive smoke recurrently emitting from the exhaust pipe. Additionally, the Subject Vehicle excessively

consumed oil.

14. Plaintiff presented the Subject Vehicle again in August 2025, with approximately 38,658 miles on the odometer, and reported excessive smoke emitting from the exhaust pipe for the third time. Additionally, the Subject Vehicle repeatedly excessively consumed oil.

To begin, Defendant's argument that Plaintiffs have failed to allege the dates of the repairs and the types of repairs (Demurrer, p. 8:10-12) is not accurate because paragraphs 12 to 14 allege the month and date of all the repairs and also allege the types of repairs. (Complaint, ¶¶ 12-14.) This goes to the heart of Defendant's argument that Plaintiffs have failed to plead sufficient facts to state a claim for negligent repair against them. Further, that negligence claims may be pled generally supports Plaintiffs' view that they have properly pleaded all the essential elements of a negligent repair claim. (*Lopez v. S. Cal. Rapid Transit Dist.* (1985) 40 Cal.3d 780, 795 ["Ordinarily, negligence may be pleaded in general terms and the plaintiff need not specify the precise act or omission alleged to constitute the breach of duty."].)

For example, in *Hahn v. Mirda* (2007) 147 Cal.App.4th 740, 747, the Court found the following allegations sufficient to state a claim: "that respondents 'negligently cared for, diagnosed and treated' Ms. Hahn and 'failed to exercise the standard of care and skill ordinarily possessed and reasonably required of physicians' and that as a 'proximate result of such negligence and carelessness' Ms. Hahn was 'injured in her health, strength and activity and has sustained injury to her body and shock and injury to her nervous system and person'" Here, when the Plaintiffs' allegations of negligent repair (Complaint, ¶¶ 62-65) are combined with the incorporated general allegations of paragraphs 12 to 14, Plaintiffs have stated a claim for negligent repair against Defendant.

Defendant's argument that Plaintiffs need to state the amount of damages is supported by two cases that relate to the interplay between this rule and default judgments. (Demurrer, p. 8:14-22; *Van Sickle v. Gilbert* (2011) 196 Cal.App.4th 1495, 1520; *Becker v. S.P.V. Construction Co.* (1980) 27 Cal.3d 489, 494.) Defendant cites no authority showing that the failure to specify the dollar amount being sought in a Complaint is grounds for sustaining a demurrer. At

the pleading stage, Plaintiffs' allegations are sufficient to support their negligent repair cause of action.

Defendant's demurrer to Plaintiffs' fourth cause of action for negligent repair based on not pleading sufficient facts is OVERRULED.

Economic Loss Rule

Defendant's argument on the economic loss rule is not tailored to the cause of action against them. Defendant argues that "In order to state a cause of action for negligence, the Complaint must allege, among other things, that the Plaintiffs were injured and incurred damages while using the product."

(Demurrer, p. 8:24-25.) Defendant also argues, "Where, as here, Plaintiffs' damages consist solely of alleged economic loss, the economic loss doctrine precludes recovery in tort for product liability." (Demurrer, p. 9:5-6.)

Defendant then argues that "In actions arising from the sale or purchase of an allegedly defective product, plaintiffs seeking economic losses must be able to demonstrate that either physical damage to property (other than the defective product itself) or personal injury accompanied such losses; if they cannot, then they are precluded from any tort recovery." (Demurrer, p. 9:14-17.) However, the negligent repair claim Plaintiffs assert against Defendant is not a product liability claim. As Plaintiffs point out, their claim against Defendant is a claim arising from Defendant's alleged negligent provision of services. (Opposition, pp. 4:19-6:13.)

The economic loss rule is not necessarily triggered as to every allegedly negligent repair, depending on the particular allegations. (See, e.g., *Rattagan v. Uber Techs., Inc.* (2024) 17 Cal.5th 1, 44 ["The doctrine does not apply if defendant's breach caused physical damage or personal injury beyond the economic losses caused by the contractual breach and defendant violated a duty flowing, not from the contract, but from a separate, legally recognized tort obligation."]; *North American Chemical Co. v. Superior Court* (1997) 59 Cal.App.4th 764, 785, 787 [to avoid the economic-loss rule's bar of damages for tort claims, plaintiffs can be non-contracting parties, contracting parties showing property damage, or contracting parties for services as distinguished from products].) Further, the Economic Loss Rule is not a complete defense, but instead relates to the damage element of a tort cause of action. (*Greystone*

Homes, Inc. v. Midtec, Inc. (2008) 168 Cal.App.4th 1194, 1215.)

The economic loss rule does not bar all cases involving the negligent performance of services. “A contract to perform services gives rise to a duty of care which requires that such services be performed in a competent and reasonable manner.” (*North American Chemical Co. v. Superior Court* (1997) 59 Cal.App.4th 764, 774.) “A negligent failure to do so may be both a breach of contract and a tort. [Citation.] In such a hybrid circumstance, the plaintiff is entitled to pursue both legal theories until an occasion for an election of remedies arises. [Citation.]” (*Ibid.*) The economic loss rule does not apply in cases involving the negligent performance of services that results in foreseeable economic loss. (*Id.* at pp. 781-785.) Here, this is what Plaintiffs are alleging against Defendant in their negligent repair cause of action. As discussed above, Plaintiffs have properly pled the essential elements of a negligent repair claim. Here, the Court concludes that the economic loss rule is not a bar to their negligent repair claim.

Defendant’s demurrer to Plaintiffs’ fourth cause of action for negligent repair based on the economic loss rule is **OVERRULED**.

Ruling

The Court **OVERRULES** Defendant’s demurrer to Plaintiffs’ fourth cause of action for negligent repair.

10. 9:00 AM CASE NUMBER: MSC19-02109

CASE NAME: S&S DRYWALL VS. SCM CONSTRUCTION

*HEARING ON MOTION IN RE: FOR LEAVE TO FILE SECOND AMENDED CROSS-COMPLAINT /
MOVED TO 5/29/26 PER GRANTED EX PARTE APPLICATION

FILED BY: SCM CONSTRUCTION MANAGEMENT SERVICES, INC.

TENTATIVE RULING:

Before the Court is a motion for leave to file a second amended cross-complaint by Defendant and Cross-Complainant SCM Construction Management Services Inc. This motion is opposed by Plaintiff and Cross-Defendant S&S Drywall.

Defendant/Cross-Complainant’s motion is **GRANTED**.